In the fall of 2000, as I was looking at Value Line's listing of stocks with the lowest price-to-earnings (P/E) ratios, something jumped out at me. Week after week, there were two stocks that I'd never heard of that were showing up as the lowest P/E stocks in the entire Value Line universe. They were Service Corp. and Stewart Enterprises. Both were sporting P/E ratios under three. I've looked at these Value Line lists for several years and seeing a business in their 1,600-stock universe trade at under three times earnings is a rarity. Further, I noticed that both these businesses were in the funeral services business. It sounded like a simple business, so I decided to dig deeper.

Figure 13.1 Stewart Enterprises' (STEI) Stock Price Collapse from $28 to $2 from 1998 to 2000

I recalled reading an interesting article in the *Chicago Tribune* in the mid-1990s. The article delved into the rate of business failure by industry. Of particular interest was a table that listed rates of business failure by SIC code. I found it interesting that the lowest rate of failure of any class of business was funeral homes. When I thought about it, it made perfect sense: